MarginOS Product Spec (v16)

Business & Product handoff for Design & Development. Prepared 29 October 2026. v16 applies the v15 independent-audit fixes: every order-level amount is split across lines the same way, duplicate payments are prevented and refunded automatically, licences are kept per purchase, the Pro shop and saved datasets are defined (including what carries over on upgrade), multi-platform products get a blended target price, and Thin pricing follows the user's own target margin. It also adds smaller fixes (currencies without an ECB rate, platforms covering different dates, small-store confidence, samples, physical vs digital orders, Google email verification, Adaptive Pricing set-up) and an Open questions log (section 14) for questions raised during the build. It builds on v15 (target price with shipping charged, delayed payments, disputes), v14 (14-day refund, fixed local prices, blocked uncovered countries) and v13 (Stripe Managed Payments, first-200 early-bird), and replaces all earlier versions.

> **Status:** All sections are **approved** by Akthar Uddin (29 October 2026), including the switch to Stripe Managed Payments, the early-bird rule, all v12 audit fixes, the v14 payment decisions (refund policy, fixed local prices, accepting the 2% conversion fee, blocking uncovered buyer countries, chargeback and partial-refund handling), all v14 final-audit fixes applied in v15 and all v15 independent-audit fixes applied in v16. Items marked **pending legal review** are approved in principle but must clear legal review before launch. Items marked **accountant check** must be confirmed by an accountant before launch. Any change to pricing, positioning or features requires Akthar's approval.

1. Product vision

A beautiful, modern web app that shows e-commerce sellers their true profit after all costs (product cost, shipping, ads, platform fees and returns), with a Margin Health Score (0-100) and specific, actionable recommendations. Launches internationally from day one, for sellers in the UK, EU, US, Canada and Australia.

2. Positioning

"Find where your margin leaks and what each leak costs you. One price, yours for life."

- Competitors (TrueProfit, BeProfit, Lifetimely, Triple Whale) track profit on monthly plans of roughly $29-$219/month, usually priced by order count.
- MarginOS diagnoses instead of just tracking: it ranks margin leaks by their impact in the user's currency and tells the seller exactly what to fix.
- No monthly order caps (fair use applies, see 12.5), no surprise bills, and the maths shown on every number.

3. Pricing

- **Free:** £0
- **Pro:** £59 one-time, lifetime access (launch early-bird £39 for the **first 200 sales only**), sold through **Stripe Managed Payments** (Stripe's merchant-of-record service; buyers see "Sold through Link").
- **Refunds:** a simple 14-day money-back guarantee (12.5). **Where sold:** only to buyers in countries where Stripe handles the tax (12.5).
- **Planned price path:** step up to £79 and then £99 once there are reviews and more features have shipped.
- **Possible later tier:** agency / accountant licence for managing many client stores.
- **Local currency:** buyers are charged in their local currency. GBP is the base price; USD, EUR, CAD and AUD have **fixed local prices** (12.5); any other currency is converted automatically by Stripe's Adaptive Pricing. Displayed prices include tax. The local price table and the net per sale are in 12.5.

4. Language

- **Launch:** English only (UK spelling, e.g. "Show the maths").
- A language selector must be built in from day one, with all interface text stored so new languages can be added later without rebuilding screens.
- The selector stays **hidden** until a second language exists.

5. Accounts, currency and support

- **Login:** email and password, plus Google sign-in.
- **Home currencies at launch:** GBP, EUR, USD, CAD, AUD. Sellers in other countries (e.g. Sweden, Poland) choose the closest, typically EUR.
- **Support:** email support at launch.
- **Payments:** Stripe Managed Payments (12.5, 12.10). Link (Stripe) sends buyers their receipts, invoices and refund notices and handles payment and transaction support; MarginOS handles product support.
    - The MarginOS support email must be set and kept up to date in the Stripe Dashboard. Stripe escalations must be answered **within 48 hours**, or Stripe may refund the buyer without MarginOS's approval.
    - Bank statements show **"LINK.COM* MARGINOS"** (or the descriptor set at setup). The checkout, receipt and FAQ must say so, to avoid "unknown charge" disputes.

6. Data input

- **Order data:** CSV exports from Shopify, Amazon and Etsy at launch. The developer must confirm the exact current export and columns for each platform before building:
    - **Shopify:** Orders export (one row per line item). Optional in the same upload: the Shopify Payments transactions export, which supplies actual payment fees and currency conversion fees.
    - **Amazon:** Seller Central **Payments** → **Reports Repository** → **Transaction** report, date-range ("Custom Unified Transaction") version. It includes actual selling fees, FBA fees, refunds and any shipping labels bought through Amazon. Its dates are **posting dates** (when Amazon booked the transaction), not order dates; MarginOS uses the posting date for the period and says so in "Show the maths".
    - **Etsy:** Orders and Order Items CSVs (required), plus the Etsy Monthly Statement CSV (optional, supplies actual fees and postage label costs). The "Card Processing Fees" column in the Orders CSV counts as an **actual** payment fee.
- **MarginOS CSV template** (or manual entry) for data the exports do not contain:
    - **Currency** of the template's amounts (one of the five home currencies; the default is the user's home currency)
    - Product SKU (or Etsy listing ID), unit cost, packaging cost
    - **Shipping cost paid by the seller**, either per order (order ID + cost) or as a per-SKU average per unit
    - **Return costs:** return shipping paid by the seller and any return or restocking fees, per order or as a per-SKU average per returned unit
    - **Ad spend** by channel and date range, with optional **attributed revenue** per channel (the revenue the ad platform reports) for per-channel ROAS
- **Input validation (template and manual entry):** costs, shipping, return costs and ad spend must be 0 or more; dates must be valid and a date range's end cannot be before its start; amounts must be numbers with up to 2 decimal places; the currency must be one of the five. Invalid rows are rejected with a row-by-row message and the rest of the file imports. A file where every row is invalid counts as a failed import (it does not use a Free upload).
- **Shipping charged vs shipping cost:** the "Shipping" column in Shopify's export is what the customer paid (shipping charged), not what the seller paid. Shipping cost always comes from the template, manual entry, the Etsy Monthly Statement or Amazon's report.
- **Fees:**
    - **Actual fees** come from the Amazon report, the Etsy Orders CSV (card processing fees) and Monthly Statement, or the Shopify Payments transactions export.
    - Where no actual fee data is uploaded for a fee type, MarginOS uses the **fee presets** for that platform, region and fee type (12.3, fee-type mapping). Preset amounts are labelled **"estimated"** everywhere they appear.

    - The Fees score part and the Fee drag leak are only used when **every compared fee type** is actual (12.1, 12.3). For example, Etsy with only the Orders CSV has actual card processing fees but estimated listing and transaction fees, so both stay off.
- **Customer personal data:** at import, MarginOS **strips customer personal data columns**: names, emails, phone numbers, street addresses, **cities, postcodes / ZIP codes**, company names, tax IDs, gift messages and buyer or order **notes**. It keeps only the country and, for US orders the state, for Canadian orders the **province**, and for Australian orders the **state** (needed for tax). Stripped values are never stored, including in **logs, error reports and import previews**. Only the order ID, dates, line items, amounts, taxes, fees, country/region and refund data are kept.
- **Time scaling:** whatever period a CSV covers, all monthly figures (such as leak impact) are scaled to a 30-day month (value × 30 ÷ days in the period).
- **Short periods:** if the data covers fewer than 14 days, results are still calculated but a warning says monthly figures may be unreliable, and the confidence level is lowered (12.1).
- **Currency conversion:** in both Free and Pro, orders in other currencies are converted at the European Central Bank's daily reference rate for each order's date, a free public source. On weekends, ECB holidays or any day without a rate, the **last published rate** before the order date is used. Template amounts in a currency other than the home currency are converted the same way, using the date of the order (per-order rows) or the start date of the range (per-SKU and ad-spend rows).
    - **Currencies without an ECB rate:** the ECB publishes rates for about 30 currencies (for example, not AED, SAR or TWD). In Pro, the user can enter their own rate for such a currency in settings (one rate per currency against the home currency, used for every date and labelled **"user rate"** in "Show the maths"). Otherwise (and always in Free), orders in that currency are **left out** of the results and a message names the currency, the number of orders and their total; the rest of the file imports normally.
- **Conversion fees (Pro cost line):** taken from the platform where it reports them (Shopify Payments transactions export, Etsy Monthly Statement, Amazon report). Where a platform does not report them, the user can enter their own conversion fee % in settings; with neither, no conversion fee is shown and "Show the maths" says so. MarginOS never guesses one.
- **Multi-file platforms:** where a platform needs more than one file (for example Etsy's Orders, Order Items and Monthly Statement), the set counts as **one upload and one dataset**.
    - If a **required** file is missing (Etsy Orders or Order Items), the import fails with a message naming the missing file and does not use an upload.
    - If an **optional** file is missing (Etsy Monthly Statement, Shopify Payments transactions), the import succeeds, fees without actual data are labelled "estimated" and a note explains which file would add actual fees and shipping costs.
- **Data model rules:** see 12.7.

7. Free tier (launch)

- Manual entry or CSV upload from Shopify, Amazon or Etsy (more platforms in later updates, see section 9)
- **Data held:** one order dataset plus one MarginOS template at a time (see 12.4)
- **Up to 3 uploads per day**, with an upload counter beside the upload area that counts down as the user uploads (see 12.4)
- **Whole-store results:** true profit after all costs (including returns) and the overall Health Score (0-100) cover every product in the file
- **Top 10 products by revenue** get a Losing money / Thin / Healthy verdict and leak detail (products with no revenue are counted and listed, with detail in Pro)
- **Top 3 leaks** (without their money impact) and 1 headline action. These are picked from store-level leaks plus product leaks on the top 10 products, ranked by impact (the impact itself stays hidden).
- Ad spend: the template accepts ad spend by channel, but Free results use the **total ad spend** (blended). Per-channel results are Pro.
- Refunds from the order files are included in true profit and return cost. Free calculates refunds per product **internally** (so verdicts, High returns and the top 3 leaks are correct), but showing the per-product refund breakdown is Pro.
- Marketplace fee presets for the UK, EU, US, Canada and Australia (labelled "estimated")

- **Simple tax toggle:** user marks whether their prices include VAT / sales tax / GST. Where the export has a tax column, MarginOS removes the tax shown there; where it doesn't, it uses the **standard rate of the order's destination country** (Canada: province; US: no rate is assumed, a note asks the user to check the export) from a built-in rate table that the developer sources from official government rates and dates. The tax settings screen and full tax rules are Pro only.
- User chooses their home currency; orders in other currencies are converted (see section 6)
- Calculators: break-even ROAS/ACOS, break-even price, target-margin price (one product)
- "Show the maths" on every number, with warnings when data is missing
- Email verification is required before the first upload

8. Pro tier (£59 lifetime): everything in Free, plus

Each feature is marked **[Launch]** or **[Later]**. Section 9 lists the same split.

Data in

- Unlimited CSV uploads, products and saved datasets (saved views of the shop, 12.7) **[Launch]**
- One shop per account, combining order files from several platforms into one store view **[Launch]**; up to 3 separate shops **[Later]**
- Upgrading from Free carries the Free order dataset and template into the Pro shop (12.7) **[Launch]**
- Bulk product costs by template **[Launch]**; dated product costs (cost changes over time) **[Later]**
- Shipping cost per order or per-SKU average **[Launch]**; shipping and packaging rules (e.g. by weight or zone) **[Later]**
- Ad spend by channel with per-channel ROAS (from the attributed revenue entered in the template; blended ROAS where none is given), spread across products by revenue share **[Launch]**
- Overheads (monthly fixed costs, pro-rated to the period, see 12.0) **[Launch]**
- Refunds per product (from the order files) **[Launch]**

Tax and currency (international) (all **[Launch]** unless marked, see 12.8)

- Tax settings screen: business country, VAT/GST registration, OSS/IOSS registration, UK Flat Rate Scheme %, US states where the seller collects tax
- UK VAT (VAT on marketplace fees, Flat Rate Scheme option), with a warning when nearing the £90k registration threshold (UK-established sellers only)
- EU VAT, including One-Stop Shop (OSS) for intra-EU cross-border sales and IOSS for imported consignments of €150 or less
- US sales tax: marketplace-collected vs self-collected estimates (no nexus calculation at launch)
- Canada GST/HST and Australia GST
- Multi-currency, with currency conversion fees shown as a cost line **[Launch]**; FX losses as a ranked leak **[Later]**

Diagnosis

- Health Score breakdown by score part **[Launch]**; Health Score by product **[Later]**
- Every launch leak (12.3) ranked by its impact in the user's currency, with specific recommendations **[Launch]**
- Wider leak types: discounts, Etsy Offsite Ads, FX losses, unclaimed VAT **[Later]**
- Product leaderboard; period-vs-period comparison; same product compared across channels **[Later]**

Planning

- Scenario comparison (at least two side by side), best and worst case. Inputs: price, product cost, ad spend, return rate, shipping charge and discount **[Launch]**
- Target price for every product **[Launch]**
- Discount / Black Friday simulator; bundle pricing; simple unit economics **[Later]**

Outputs

- PDF reports with MarginOS branding **[Launch]**; seller logo on reports **[Later]**

- Saved datasets that can be reopened **[Launch]**; saved history of scores over time **[Later]**
- Monthly P&L; CSV/Excel export for accountants; action-plan checklist **[Later]**
- (Full data export for privacy purposes is available to all users at launch, see 12.6.)

Data retention: see 12.6. **Fair use:** see 12.5.

9. Release plan

Launch (first release)

- CSV importers for Shopify (plus optional Shopify Payments transactions), Amazon and Etsy (plus optional Monthly Statement), manual entry and the MarginOS template including shipping cost
- Customer personal data stripped at import
- Free tier exactly as section 7
- Pro: unlimited uploads and saved datasets; one shop per account combining several platforms
- Pro: bulk product costs, shipping cost per order or per-SKU average, ad spend by channel, overheads, refunds per product
- Pro: tax settings screen; UK/EU VAT (OSS, IOSS), US sales tax estimates, Canada and Australia GST; fee presets for all five regions; multi-currency with conversion fees as a cost line
- True profit, Health Score with breakdown by part, product verdicts
- The six launch leaks (12.3) ranked by impact in the user's currency, with recommendations; target price for every product (Pro)
- Calculators
- Scenario comparison (at least two scenarios side by side)
- PDF reports with MarginOS branding
- Accounts (email + Google), Stripe Managed Payments checkout behind the payment provider layer (12.10), early-bird, refunds, chargeback handling, data export and deletion
- English interface with a hidden language selector ready for later

Later updates (free for lifetime buyers)

- CSV importers for WooCommerce, eBay and TikTok Shop
- Up to 3 separate shops; product leaderboard; period and channel comparisons; Health Score by product
- FX losses as a ranked leak; wider leak types (discounts, Etsy Offsite Ads, unclaimed VAT)
- Dated product costs; shipping and packaging rules
- Discount / Black Friday simulator; bundle pricing; unit economics
- Monthly P&L; accountant export; action-plan checklist; saved score history; seller logo on reports
- De-duplicated total of all leak impacts (see 12.3)
- Additional languages

10. Acceptance criteria

10.1 Free (launch)

1. A user can create an account with email and password or Google sign-in, must verify their email before the first upload (a Google sign-in counts as verified only when Google reports the email as verified, 12.5), and can enter data manually or upload one order dataset (Shopify, Amazon or Etsy) plus one MarginOS template.
2. True profit and the overall Health Score (0-100) cover every product in the file.
3. Verdicts and leaks are shown for the top 10 products by revenue, and the user is told clearly when more exist.
4. The top 3 leaks and 1 headline action are shown, with money amounts hidden behind a Pro prompt.
5. All three calculators work for a single product.
6. Every figure can be expanded ("Show the maths"), and missing data triggers a clear warning.
7. Locked Pro features are clearly marked, with an upgrade prompt.

8. A Free user can make up to 3 successful uploads per day (order files and templates both count; a multi-file platform set counts as one); a counter beside the upload area shows uploads left and counts down after each successful upload.
9. Failed imports and manual entry do not reduce the counter, and the counter resets to 3 at midnight in the user's time zone.
10. At 0 uploads left, uploading is disabled with a message showing the reset time and an upgrade prompt.
11. A Free upload with more than 50,000 orders is rejected with a clear message and does not use an upload.
12. Uploading a new order file replaces the old order dataset only; uploading a new template replaces the old template only.
13. Free data is deleted after 30 days without a sign-in; a reminder email is sent at least 7 days before deletion, and signing in cancels it.
14. The time zone can be changed at most once every 30 days, and a change takes effect from the next midnight.

10.2 All users (launch)

1. Customer names, emails, phone numbers, street addresses, cities, postcodes, company names, tax IDs and buyer notes are removed at import and never stored; a test file containing them shows none of them in the database, results, exports, logs or error reports, while country, US state, Canadian province and Australian state are kept.
2. Fees taken from presets are labelled "estimated", and unless every compared fee type is actual, the Fees score part and Fee drag leak are not shown.
3. Shipping cost can be entered per order or as a per-SKU average; if physical orders have no shipping cost, a warning is shown and the Shipping part is dropped from the score.
4. An Etsy upload missing Orders or Order Items fails with a message naming the missing file and does not use an upload; one missing only the Monthly Statement succeeds with fees labelled "estimated".
5. Orders in other currencies use the ECB rate for the order date, or the last published rate before it. Orders in a currency with no ECB rate use the Pro user's own rate if entered; otherwise they are left out with a message naming the currency, order count and total (section 6).
6. Periods under 14 days show a short-period warning and a lowered confidence level; the confidence level follows 12.1.
7. Scores follow 12.1 exactly: a part with no data is dropped and the rest are rescaled; all rounding is decimal half-up (12.3) and the score is rounded to a whole number before banding.
8. Any user can download all of their data as CSV and permanently delete their account and data from settings; deletion is confirmed by email and completed within 30 days (backups included).
9. The interface is English only, all text is stored for translation, and the language selector exists but is hidden.
10. Template and manual-entry rows that fail validation (section 6) are rejected with a row-by-row message; negative costs are never accepted.
11. **Order-level amounts split by line value (12.0):** an order of 1 mug at £10 and 1 print at £40, with £6 seller shipping cost for the order and a 20p fixed payment fee, gives the mug £1.20 shipping and £0.04 fixed fee and the print £4.80 and £0.16. The split amounts add up exactly to the order amounts, are labelled "allocated", and the same rule is used for shipping charged, order-level fees, discounts and refunds.
12. **Physical vs digital orders** follow 12.0: a Shopify line marked as not requiring shipping is digital, Amazon orders are physical, and Etsy orders are physical unless the user marks the listing as digital; only physical, non-FBA orders trigger the "shipping cost missing" warning.

10.3 Pro (launch)

1. A user can upload unlimited CSVs from Shopify, Amazon or Etsy, combine files from several platforms into one store view, add costs, shipping cost, return costs, ad spend and overheads manually or by template, and profit is calculated after product cost, shipping, ad spend, platform fees and returns (12.0).
2. Re-uploading overlapping files never double-counts orders or transactions, using the matching keys in 12.7, and the import summary shows new, updated and duplicate rows.
3. The Health Score shows on a 0-100 scale with a breakdown that explains each part, including which parts were dropped and why.

4. Every leak shows an estimated amount per 30-day month in the user's home currency using its formula in 12.3 and is ranked from largest to smallest; no summed total is shown.
5. Each leak has at least one specific, actionable recommendation with a calculated figure.
6. Every product gets a Losing money / Thin / Healthy / No revenue verdict, and every product with revenue gets a target price, or the message "Can't reach the target margin at any price".
7. The tax settings screen captures the fields in 12.8, and VAT, sales tax and GST follow 12.8 for the user's settings, labelled as estimates, not tax advice.
8. A user can pick a home currency from the five supported, and orders in other currencies are converted with conversion fees shown as a cost line.
9. Ad spend by channel shows per-channel ROAS where attributed revenue is entered (blended ROAS otherwise), is pro-rated to the period and is spread across products by revenue share.
10. A user can build at least two scenarios and compare profit and Health Score side by side, following the scenario rules in 12.3.
11. A user can export a PDF report with the score, leaks, recommendations and scenarios.
12. Pro unlocks as soon as Stripe confirms payment (12.10) and stays unlocked for the life of the account, **unless the purchase is fully refunded or a chargeback is lost, which removes Pro** (the account and data stay, on Free limits; the most recently opened saved dataset and the current cost data stay active as the Free dataset, and other data is kept for 30 days so the user can export it). Pro is decided per purchase (12.10): the account has Pro while at least one of its purchases is active.
    - A **full refund** (the whole amount paid, in one refund or several) removes Pro, whoever starts it (MarginOS, Stripe or Link). A **partial refund** does not remove Pro.
    - When a **chargeback** is opened, Pro **stays** while the dispute is open; Pro is removed only if the dispute is **lost**. A won dispute, or an inquiry that closes without a chargeback, changes nothing.
    - A refund that later fails restores Pro if the amount refunded falls below the full amount; a "prevented" dispute changes nothing; an unknown status changes nothing and sends an alert; redacted Stripe records keep the last known licence state.
    - Each case is detected by webhook as set out in 12.10 and recorded on the licence.
13. Checkout charges the tax-inclusive price in the buyer's currency: the fixed price for GBP, USD, EUR, CAD and AUD, and Stripe's Adaptive Pricing conversion of the GBP price for other currencies (12.5). The early-bird price applies to the **first 200 sales only**, counted at the time of sale; a refund does not reopen a slot; after the 200th sale checkout switches to £59 (and the matching local prices) automatically and never sells more than 200 early-bird licences. The fixed local prices are those in 12.5.
14. Pro accounts inactive for 24 months follow the retention rule in 12.6.
15. All payment code sits behind the payment provider layer (12.10); webhook events are verified, processed once only, and a replayed or out-of-order event never grants or removes Pro twice.
16. Checkout is offered only to buyers in countries on the allowed-country list (12.5); buyers elsewhere see a message that MarginOS isn't available in their country yet, and no checkout is created.
17. The refund policy shown at checkout, on the pricing page and in the terms is the 14-day refund in 12.5, with no exceptions for PDF downloads.
18. **Target price with shipping charged:** for a product with unit cost £10, packaging £1, shipping cost £5 and shipping charged £4 per unit, ad cost £2 per unit, percentage fees 10% (on product and shipping), return cost rate 5% and a 10% target margin, the target price is **£20.00**, and recalculating the product at £20.00 gives a net margin of exactly **10.0%** (verdict Healthy). With no shipping charged, the target price still matches the formula in 12.3.
19. **Estimated units refunded:** an order of 2 × £20 (SKU A) and 1 × £60 (SKU B) with a single £30 order-level refund allocates £12.00 to A and £18.00 to B, giving **0.6** units refunded for A and **0.3** for B (capped at each line's quantity). These rates are labelled "estimated from refund amount" in "Show the maths", any High returns leak using them is labelled "estimated", and where a High returns leak shown uses them, the confidence level is one lower than the same data with exact refunded units.

20. **Paid-only sales and holds:** checkout can be opened only from a signed-in, verified account, and the Checkout Session carries the account ID as "client_reference_id". A session that completes "unpaid" grants no Pro and keeps the slot held; "async_payment_succeeded" grants Pro and counts the sale; "async_payment_failed" grants no Pro and releases the slot, so the early-bird places left go back up by one. A second checkout from the same account

never holds a second slot (see criterion 21). With 199 sales and one held slot whose delayed payment fails, the next buyer gets the early-bird price.

21. **Duplicate payments:** opening a new checkout while the account has an open, unpaid session expires the old session through Stripe's API before the new one is created, and the hold moves to the new session. While a delayed payment is pending, or while the account has active Pro, no checkout can be opened (the user sees "Your payment is processing" or "You already have Pro"). If a second payment still gets through, it is refunded in full automatically, grants nothing, uses no early-bird slot and sends an alert. With 199 sales, an account whose delayed payment is pending cannot open a second checkout; when the payment succeeds the counter shows 200 and the buyer was charged once.

22. **Re-purchase and late events:** licences are stored per purchase. A user whose first purchase was fully refunded and who buys again has Pro; a late or replayed event for the old, refunded purchase (for example a dispute closed as lost) changes only that purchase's record and never removes Pro granted by the new one.
23. **Upgrade from Free:** when a Free user buys Pro, their Free order dataset and template become the first data in their Pro shop and a saved dataset, all results stay the same, the daily upload counter disappears, and the Free 30-day deletion timer and its reminder email are cancelled.
24. **Multi-platform target price:** a product sold 60 units on Shopify (2.9% + 20p per order, one unit per order, £4 seller shipping per order, no shipping charged) and 40 units on Amazon FBA (15% referral, £3 FBA fee per unit), all at £20, with unit cost £11, packaging £1, ad cost £1 per unit, return cost rate 3% and a 10% target, uses blended inputs of 7.74% percentage fees, £1.32 fixed fees per unit and £2.40 shipping cost per unit. Its target price is **£21.10**, recalculating at £21.10 with the same sales mix gives **10.0%**, and "Show the maths" names the platform mix (60% Shopify / 40% Amazon by revenue) and says it assumes the mix stays the same.
25. **Thin pricing and the user's target:** a Pro user with a 5% target margin and a Thin product at 6.7% (price £24) sees **no** Thin pricing leak, and the product's target price of £23.53 is shown as "Current price already reaches your target margin", never as "raise price". With the default 10% target the same product shows the leak.
26. **Platforms covering different dates:** in a Pro shop with Shopify orders for 1-30 September and Amazon postings for 15 September-15 October, the import summary shows each platform's dates, a warning says they differ, and the default period is 15-30 September (the dates every platform covers); the user can choose another range.
27. **Small stores:** a store with fewer than 30 orders in the period shows a confidence level one lower than the same data with 30 or more orders (12.1).

Later updates: acceptance criteria to be written by Business & Product before each update is built.

11. On hold (not being built now)

Live store sync, automatic ad-platform sync, alerts and email digests, AI assistant, Amazon inventory tools, accounting (QuickBooks/Xero) sync. These would form a possible future "MarginOS Live" monthly plan (£12-£15/month) and are on hold to avoid ongoing running costs.

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12. Calculation rules and commercial terms

12.0 Definitions

- **Revenue:** product sales plus shipping charged, minus discounts, excluding VAT / sales tax / GST. Refunds are not deducted here; they are counted in return cost.
- **Product and packaging cost:** unit cost + packaging cost, per unit sold.
- **Shipping cost:** what the seller paid to ship orders (not what the customer paid). Excludes FBA orders, whose fulfilment fees count as fees.
- **Net shipping cost:** shipping cost minus shipping charged (can be negative).
- **Shipping-eligible revenue:** revenue from non-FBA physical orders. The Shipping part and the Shipping subsidy leak divide by this, not by total revenue.

- **Fees:** marketplace, payment and fulfilment fees (actual where uploaded, otherwise "estimated" presets), mapped to the fee types in 12.3.
- **Order-level amounts split across lines (allocation):** any amount given for a whole order rather than for each line (shipping charged, the seller's shipping cost per order, order-level fees including fixed per-order fees such as 20p, order-level discounts, order-level return costs and refunds) is split across the order's lines **by line value** (each line's share of the order's product revenue before order-level discounts). The split amounts are flagged **"allocated"** in "Show the maths" and add up exactly to the order amount (any rounding remainder goes to the last line). If every line in the order has zero value, the amount is split by units. A product's per-unit amount = the total allocated to its lines ÷ its units sold. Amounts the platform already gives per line are used as given.
- **Physical and digital orders:** Shopify: a line is physical when its "Lineitem requires shipping" column is true; Amazon: always physical; Etsy: physical unless the user marks the listing (or the whole shop) as digital in settings. An order is physical if any line is physical.
- **Return cost:** refunded amount + return shipping + return or restocking fees (from the platform files or the template).
    - **Refund allocation:** where a refund is given for the whole order rather than per line, it is split across the order's lines by line value, using the allocation rule above, and flagged **"allocated"** in "Show the maths".
- **Contribution margin (CM):** revenue − product and packaging cost − shipping cost − fees − return cost. CM % = CM ÷ revenue.
- **Net profit (true profit):** CM − ad spend − currency conversion fees (Pro) − overheads (Pro, if entered). Net margin = net profit ÷ revenue.
- **Pro-rating to the period:**
    - **Overheads** are entered per month and are counted as monthly overheads × days in the period ÷ 30.
    - **Ad spend** entries cover their own date range; each entry counts only for the days that overlap the period (amount × overlapping days ÷ days in the entry's range). "Show the maths" shows the pro-rating.
- **Product net profit:** the product's CM − its share of ad spend. Overheads and conversion fees are store-level only and are not spread across products.
- **Blended ROAS:** revenue ÷ total ad spend for the period (all channels). **Per-channel ROAS** (Pro) = the attributed revenue the seller enters for that channel (from the ad platform's own report) ÷ that channel's ad spend. Where no attributed revenue is entered, only blended ROAS is shown. Per-channel ROAS is shown for information; the Health Score and leaks use blended ROAS.
- **Break-even ROAS:** 1 ÷ CM %. If CM % is 0 or below, break-even ROAS is "not reachable".
- **Break-even ACOS:** equal to CM % (ads can take up to this share of revenue before the store loses money).
- **Ad spend per product:** total ad spend spread across products by their share of revenue.
- **Unit return rate:** units refunded ÷ units sold.
    - **Estimated units refunded:** where a file gives only a refund **amount** (for example Shopify's order-level refunds) and not the units refunded, units refunded for each line = the refund allocated to that line (refund allocation, above) ÷ the line's unit price, capped at the line's quantity. The result can be a fraction (for example 0.6 units) and is not rounded to whole units. Any unit return rate that uses estimated units is labelled **"estimated from refund amount"** in "Show the maths". It lowers the confidence level by one only when a High returns leak that is shown uses it (12.1).

12.1 Health Score formula (0-100)

Weighted total of six parts. Each part scores 0-100 on a straight-line scale between the points below (Ad efficiency uses two straight-line segments, see the table).

Part	Weight	100 points at	0 points at
Net margin	35%	20% or more of revenue	0% or below
Ad efficiency	20%	Blended ROAS 1.5× break-even ROAS or better	0.75× break-even or worse. Piecewise: straight line from 0 points at 0.75× to 50 points at exactly 1.0×, then straight line to 100 points at 1.5×
Returns	15%	Return cost 3% of revenue or less	15% or more
Product mix	10%	0% of revenue from Losing money or Thin products	50% or more

Part	Weight	100 points at	0 points at
Fees	10%	Actual fees no more than 1 percentage point above the matching preset rate (like for like, 12.3)	10 percentage points or more above it
Shipping	10%	Net shipping cost 5% of shipping-eligible revenue or less	15% or more

Rules

- **General rule:** any part without the data it needs is **dropped**, and the remaining weights are **rescaled proportionally** to total 100%. The breakdown says which parts were dropped and why.
- **No ads:** Ad efficiency is dropped.
- **CM 0% or below with ad spend:** Ad efficiency scores **0**, and the breakdown says "Every ad pound loses money" (with the home currency's name, e.g. "Every ad dollar loses money").
- **Fees:** dropped unless every compared fee type (12.3) is actual (presets alone, or a mix of actual and preset, are "estimated").
- **Shipping:** dropped when there is no shipping cost (digital products, all orders FBA, or shipping cost not entered). If physical, non-FBA orders exist but no shipping cost was entered, a "shipping cost missing" warning is shown. Free shipping is not penalised as long as net shipping cost stays at 5% of shipping-eligible revenue or less.
- **FBA orders** (Amazon fulfilled by Amazon): excluded from Shipping (both the cost and the revenue used to divide it); Amazon's fulfilment fees count under Fees.
- **Rounding:** each part and the final score are rounded to whole numbers using decimal half-up rounding (12.3). The score is rounded **before** banding.
- **Bands: Strong** 80 or more; **Needs attention** 50 to 79; **At risk** below 50. ("Healthy" is used only as a product verdict.)
- **Revenue of 0 for the whole store:** no score is shown; the user is asked to check the file.
- **Confidence level** (shown beside the score): **High**, **Medium** or **Low**. It starts at High and drops one level for each of the following, to no lower than Low:
    - a part dropped because data is **missing** (fees estimated; shipping cost missing for physical, non-FBA orders). Parts that are genuinely **not applicable** (no ads; no shipping because all orders are digital or FBA) do not lower it.
    - a period under 14 days
    - fewer than 30 orders in the period (small samples swing a lot)
    - products with "cost missing" making up more than 10% of revenue
    - a High returns leak shown that uses units refunded estimated from refund amounts (12.0)
    - The breakdown lists each reason.

12.2 Product verdict rules

Margins are rounded to 0.1% (decimal half-up) before the verdict is set.

- **Losing money:** net profit below zero (even if the margin rounds to 0.0%)
- **Thin:** net profit zero or above and net margin 0.0% up to 9.9%
- **Healthy:** net margin 10.0% or more
- **No revenue:** the product has costs but no revenue in the period (for example free samples or replacements sent with no sale, or only out-of-period refunds). Its costs count in the Loss-making product leak. A product whose sales in the period were all refunded still has revenue (refunds are a return cost, 12.0), so it shows as Losing money, not No revenue.

12.3 Launch leak rules

Shipping subsidy and Fee drag trigger at the point where their matching Health Score part starts losing points. **Unprofitable ads** is different: the Ad efficiency part starts losing points below 1.5× break-even ROAS, but the leak triggers only **below 1.0× break-even ROAS** (where ads cost more than the contribution margin they bring in), or when CM is 0% or below with

ad spend. Between 1.0× and 1.5× the score is lowered but no leak is shown. High returns, Loss-making product and Thin pricing are product-level tests with no exact matching part. **No leak impact is ever below 0.**

Leak	Triggers when	Monthly impact (one formula per leak, scaled to 30 days)	Recommendation (with calculated figure)
Unprofitable ads	Blended ROAS below 1.0× break-even ROAS, or CM 0% or below with ad spend	Ad spend − CM, where a CM below zero counts as zero (so the impact is never more than the ad spend), **never below 0**	Reduce or pause spend until ROAS reaches break-even ROAS (shown); if CM is 0% or below, fix pricing and costs first because every ad pound loses money
High returns	Product has at least 10 orders and its unit return rate is above 2× the store average (excluding that product), or above 15%. If the store average excluding the product is 0% or can't be calculated (a single-product store), only the 15% test applies	Product return cost × (1 − target rate ÷ product rate), **never below 0**. Target rate = the lower of the store average excluding the product and 15%; if that average is 0% or can't be calculated, 15%. Uses estimated units refunded where needed (12.0), labelled "estimated"	Review sizing, photos and descriptions; shows profit gained at the target rate
Loss-making product	Verdict is Losing money or No revenue	The product's monthly loss (for No revenue products, its monthly costs)	Raise price to the target price (shown), or discontinue. For **No revenue** products (for example free samples or replacements): stop sending them or charge for them, showing their monthly cost
Shipping subsidy	Net shipping cost above 5% of shipping-eligible revenue	Net shipping cost − 5% of shipping-eligible revenue	Raise free-shipping threshold or add a shipping charge; shows amount to recover per order
Fee drag	Compared actual fees more than 1 percentage point above the matching preset rate, like for like (never fires on estimated fees)	(Compared actual fee % − matching preset fee %) × compared revenue, i.e. the full excess over the preset, on the same basis as the Fees part	Review fee plan or payment settings; shows the excess fees per month
Thin pricing	Verdict is Thin **and** the product's net margin is below the target margin (so a Pro user's target below 10% can switch it off)	(target margin − product net margin) × product revenue, **never below 0**. Target margin is the same one the target price uses: 10% by default, or the Pro user's own target (12.3, Formulas)	Raise price to the target price (shown)

- **No summed total at launch.** Leaks can overlap (for example a product can be Thin and have High returns), so impacts are shown one by one and ranked. A de-duplicated total is a later update.
- Leak impacts are rounded to whole units of the home currency.

Fee-type mapping and presets (for the Fees part and Fee drag)

Every fee line from every file is mapped to one fee type. Only **compared** fee types count towards the Fees part and Fee drag; the others still count as costs in CM but are never compared with a preset.

Fee type	Examples	Compared with preset?
Referral / commission	Amazon referral fee, Etsy transaction fee	Yes
Payment processing	Shopify Payments fee, Etsy card processing fee	Yes
Listing	Etsy listing and renewal fees	Yes
Fulfilment	Amazon FBA fulfilment and storage fees	No (counted in fees, not compared)
Shipping labels	Labels bought through Amazon or Etsy	No (counted as shipping cost)
Advertising	Etsy Ads, Offsite Ads, Amazon Sponsored Products in the report	No (counted as ad spend)
Subscriptions and VAT on fees	Shopify plan, Etsy Plus, VAT charged on fees	No (subscriptions are overheads if entered; VAT on fees follows 12.8)

- **Preset table:** one row per platform × region (UK, EU, US, Canada, Australia) × compared fee type, giving the standard rate (% and any fixed fee per order). The developer fills it from each platform's published fee pages at build, records the source link and date for every row, and Business & Product signs it off. It is rechecked at least every 6 months.

- **Like-for-like comparison:** the matching preset rate is worked out on the same orders as the actual fees: for each compared fee type, the preset for each order's platform and region, weighted by that order's revenue. Compared revenue = the revenue of orders with actual data for every compared fee type.
- A platform or fee type is only compared when its actual data is uploaded; otherwise it uses the preset, labelled "estimated", and the Fees part and Fee drag stay off (12.1).

Formulas

- **Target price** (before VAT/GST/sales tax) = (unit cost + packaging + per-unit shipping cost + per-unit ad cost + fixed per-order fees per unit) ÷ (1 − percentage fees − product return cost rate − target margin) − per-unit shipping charged.
    - **Why shipping charged is subtracted at the end:** revenue includes shipping charged (12.0), and percentage fees, return cost and the target margin are all shares of that revenue. Solving on revenue and then taking off the shipping the customer already pays makes the product reach exactly the target margin. (Using net shipping cost in the top line instead would leave the margin short whenever the customer pays shipping: for example £18.67 gives 5.6% instead of 10%, while the formula above gives £20.00 and exactly 10%.)
    - Per-unit shipping cost = the product's shipping cost ÷ units sold; per-unit shipping charged = the shipping charged on its orders ÷ units sold (order-level shipping is split by line value, 12.0).
    - Where a platform's percentage fees **don't** apply to shipping charged, use: target price = (unit cost + packaging + per-unit shipping cost + per-unit ad cost + fixed per-order fees per unit − per-unit shipping charged × (1 − product return cost rate − target margin)) ÷ (1 − percentage fees − product return cost rate − target margin).
    - If the result is 0 or below (shipping charged alone covers the costs), the target price is shown as the lowest price, 0.01, with the note "Shipping charged already covers this product's costs".
    - **Per-unit ad cost is held at its current amount** (the product's current ad spend share ÷ units sold). Because ad spend is spread by revenue share, a higher price would otherwise pull more ad spend onto the product and the margin would fall short of the target. "Show the maths" states this assumption: "assumes ad spend on this product stays at £X per unit".
    - Product return cost rate = the product's return cost ÷ its revenue (store average if the product has fewer than 10 orders).
    - Where a platform charges percentage fees on the tax-inclusive price, percentage fees are multiplied by (1 + tax rate).
    - If the seller's prices include VAT/GST, the price shown to them = the unrounded target price × (1 + tax rate), then rounded up to the next 0.01.
    - Target margin defaults to 10% (the Healthy threshold); Pro users can set their own. The Thin pricing leak uses the same target margin.
    - **Already at target:** if the target price is at or below the product's current average price, it is shown as "Current price already reaches your target margin (target price £X)", never as "raise price".
    - **Products sold on more than one platform:** each input is a **blend of the product's own sales across its platforms**, so one target price covers the current sales mix: percentage fees = the product's total percentage-based fees ÷ its total revenue (this weights each platform by revenue and allows for platforms that don't charge fees on shipping); fixed per-order fees, shipping cost and shipping charged per unit = the product's totals ÷ its total units sold (FBA units add no shipping cost); return cost rate = the product's total return cost ÷ its total revenue. "Show the maths" names the platform mix (for example "60% Shopify / 40% Amazon by revenue") and says it assumes the mix stays the same. A separate target price per platform comes later with the channel comparison (section 9).
    - The result is **rounded up** to the next 0.01 so the product reaches at least the target margin.
    - If the denominator is 0 or below, show **"Can't reach the target margin at any price"**, with the cost share that causes it (fees, returns or the target margin).
- **Break-even price** = target price with a 0% target margin.
- **Break-even ROAS** = 1 ÷ CM %; **break-even ACOS** = CM % (see 12.0).
- **Rounding:** all money and percentage calculations use **decimal arithmetic** (not floating point) with **half-up** rounding (0.05 rounds up, so 5.55% → 5.6%), except where a rule says "rounded up". Margins and percentages to 0.1%;

money to 2 decimal places (whole units in summaries); scores to whole numbers.

Scenario rules (Pro)

- A scenario changes price, product cost, ad spend, return rate, shipping charge or discount, for the whole store or for chosen products.
- **Units sold stay the same** (no demand modelling); "Show the maths" says so.
- When only price changes, **ad spend per unit is held at its current amount** (as in the target price), so a product priced at its target price shows the target margin.
- A change in ad spend is spread across products by revenue share at the scenario's prices.
- A return-rate change scales the product's return cost in proportion.
- Everything else (fees, tax, Health Score, verdicts, leaks) is recalculated with the normal rules.

12.4 Free tier rules

- **Data held:** one order dataset plus one MarginOS template at a time. Uploading a new order file replaces the old order dataset; uploading a new template replaces the old template. Neither replaces the other.
- Free data is deleted after 30 days of inactivity (no sign-in for 30 days), with an email reminder at least 7 days before.
- **File size:** each Free upload can contain up to 50,000 orders; larger files are rejected with a message suggesting a shorter date range or Pro.
- **Daily upload limit:** 3 uploads per day. Order files and templates both count; a multi-file platform set (such as Etsy) counts as one.
    - Only successful uploads count; a file that fails to import does not use an upload. Manual entry does not count.
    - The limit resets at midnight in the user's time zone, which is set from their browser at sign-up. It can be changed in account settings **at most once every 30 days**, taking effect from the next midnight, so it cannot be used to reset the counter.
    - A counter shown next to the upload area displays the uploads left today (for example "2 of 3 uploads left today") and counts down with each successful upload.
    - At 0, uploading is disabled until the reset, with a message showing when it resets and a prompt to upgrade to Pro for unlimited uploads.
- Email verification is required before the first upload, to limit duplicate free accounts.
- Pro has no daily upload limit (fair use applies, see 12.5).

12.5 Commercial terms

- **Payment provider (approved): Stripe Managed Payments** (SMP), Stripe's merchant-of-record service, using Stripe Checkout. Generally available since 22 April 2026, including for UK businesses. It handles indirect tax (VAT, GST, sales tax) in 80+ countries, fraud prevention, disputes and transaction-level customer support. (Managed Payments overview, How it works, changelog)
    - The merchant of record is **Sold through Link, LLC** (a Stripe company; South San Francisco, USA). Buyers see "Sold through Link", get receipts and invoices from Link, and see "LINK.COM*" on their statement. (Managed Payments terms, Set up)
    - **Eligibility:** SMP is only for digital, fully automated products, each set up with an eligible Stripe tax code (MarginOS: software as a service, for business use). Stripe reviews eligibility and requires a low dispute rate. Buyers in some countries and territories can't buy through SMP at all (Stripe's list on 29 October 2026: Ascension, China, Cuba, Iran, Kosovo, North Korea, Russia, Syria and Tristan da Cunha). Eligibility must be **confirmed with Stripe before launch**.
- **Allowed buyer countries (approved):** MarginOS sells **only to buyers in countries where SMP handles indirect tax** (Stripe's "Supported countries for tax coverage" list: 81 countries at the last check on 29 October 2026 (Stripe says "more than 80"), including the UK, all EU countries, the US, Canada and Australia). Sales to other countries are **blocked until an accountant confirms** how MarginOS should handle tax there. (Tax compliance)
    - MarginOS keeps the allowed-country list in its own settings, copied from Stripe's page at setup and rechecked before launch and every quarter.

    - Before checkout, the buyer confirms their billing country (pre-filled from their location); checkout is created only for an allowed country, otherwise the buyer sees "MarginOS isn't available in your country yet".
    - Stripe works out tax from the buyer's details at checkout, so a buyer could still end up taxed in another country. Every sale's tax country is read back from Stripe (12.10); a sale outside the list is flagged for review. The developer should also ask Stripe whether SMP accounts can block countries at Stripe's side, and use that too if available. (Eligibility)
- **How prices are charged (approved):** buyers are charged in their **local currency**. There is **one Pro product** with two prices (£59 and the £39 early-bird), each with **fixed local prices** for USD, EUR, CAD and AUD (Stripe "currency options"). Buyers in any other currency see the GBP price converted by Stripe's **Adaptive Pricing**, which must be **switched on in the Stripe Dashboard and checked in test mode** (12.10). One early-bird counter covers all currencies. (Adaptive Pricing, Manage prices)
    - Adaptive Pricing costs MarginOS nothing; the buyer pays a 2-4% conversion margin built into the rate, and the rate is held for 24 hours. A currency with a fixed local price is never converted by Adaptive Pricing.
- **Displayed prices include tax (approved):** every price and currency option is set to **tax-inclusive** ("tax behaviour: inclusive"), so the buyer pays exactly the listed price and any VAT / sales tax / GST comes out of it. Stripe's default is tax added on top, so this must be set on every price and checked in testing. (Set up: tax behaviour)
- **Fixed local prices (approved; set from ECB reference rates of 28 October 2026; tax-inclusive):**

Price	GBP	USD	EUR	CAD	AUD
£59, exact ECB equivalent	£59	$78.40	€70.42	CA$110.12	A$111.47
£59, recommended fixed price	**£59**	**$79** (+0.8%)	**€69** (−2.0%)	**CA$109** (−1.0%)	**A$109** (−2.2%)
£39 early-bird, exact ECB equivalent	£39	$51.82	€46.55	CA$72.79	A$73.69
£39, recommended fixed price	**£39**	**$52** (+0.3%)	**€47** (+1.0%)	**CA$73** (+0.3%)	**A$74** (+0.4%)

The £59 prices use familiar "9" endings within about 2% of the exchange rate; the £39 prices use the nearest whole amount. Recheck the rates before launch; if any fixed price moves more than 5% from its GBP equivalent, Business & Product flags it to Akthar (any price change needs his approval).

- **Stripe fees (UK account, recorded in full):** (UK pricing, Managed Payments pricing)
    - **SMP fee: 3.5% per successful transaction**, on top of standard card fees. It covers tax compliance, fraud prevention, dispute handling and transaction support.
    - **Card fees:** standard UK cards 1.5% + 20p; premium UK cards 2.8% + 20p; EEA cards 2.5% + 20p; international cards 3.15% + 20p.
    - **+2% currency conversion** when the charge currency has to be converted to GBP. **Approved:** MarginOS keeps the fixed USD, EUR, CAD and AUD prices, pays out in GBP only and accepts this 2% fee (multi-currency settlement is not used at launch). It does not apply to Adaptive Pricing sales, which settle in GBP. (Multi-currency settlement)
    - **Disputes:** £20 per dispute received, plus a £20 fee to counter one (refunded if won). When Stripe submits the evidence itself under SMP, it covers that fee. Stripe may switch on dispute-prevention tools and charge MarginOS for them.
    - **Refunds:** no refund fee, but the original card, SMP and conversion fees are not returned.
    - **Payouts:** free to a UK bank on the standard schedule (instant payouts cost extra). The first payout comes about 7-14 days after the first sale; after that, UK payouts are 3 business days after payment by default (daily, weekly, monthly or manual schedules are available). (Payouts)
- **Net per sale for MarginOS** (not VAT registered, tax-inclusive prices, paid to a UK bank in GBP). Figures are after buyer tax (which SMP withholds and remits) and all Stripe fees. Fees are assumed to apply to the full amount charged including tax (Stripe doesn't say otherwise; this is the cautious reading). Worked in `audit/net_per_sale_v13.py`.

Sale	UK buyer, standard UK card (20% VAT)	UK buyer, premium card	EU buyer, EEA card, fixed EUR price (21% VAT)	EU buyer, Adaptive Pricing	US buyer, fixed USD price (no sales tax, best case)	US buyer, Adaptive Pricing (best case)
£39 early-bird	**£30.35**	£29.84	£29.19 (€47)	£29.69	£35.55 ($52)	£36.21
£59 full price	**£46.02**	£45.25	£42.95 (€69)	£45.02	£54.11 ($79)	£54.88

For example, a £39 UK card sale: £6.50 VAT (remitted by SMP, not by MarginOS) + £2.15 Stripe fees (1.5% + 3.5% of £39, + 20p) leaves £30.35 (v12 Lemon Squeezy: £29.29). The fixed EUR and USD columns include the 2% conversion fee; the EUR £59 figure is also lower because €69 is 2% under the exchange rate. **US figures are a best case:** some US states tax software sold online, and because prices include tax that tax comes out of the price (for example, at 6% a $79 sale nets about £50.75). These figures are the same whether or not MarginOS is VAT registered (see 12.9). They are before income tax or corporation tax.

- **Early-bird rules (approved):** £39 (and the matching local prices) for the **first 200 sales only**. There is no time limit. Sales are **counted at the time of sale**; a later refund does **not** reopen a slot.
  - **Who can check out:** checkout is opened only from a **signed-in MarginOS account with a verified email** (a Google sign-in counts as verified only when Google's "email_verified" claim is true; otherwise the user verifies by email link). The MarginOS account ID is passed to Stripe as the Checkout Session's "client_reference_id" (and in its metadata), and the purchase is linked to that account only.
  - To make sure no more than 200 are sold, a slot is **held** when an early-bird checkout is opened. The hold belongs to the **account**, and each account can have **only one open checkout and one hold** at a time.
  - **One payment per account (no duplicates):**
    - Opening a new checkout while the account has an **open, unpaid** session first **expires the old session through Stripe's API** ("expire a Checkout Session") and moves the hold to the new session. If the old session can't be expired because it has just been completed, no new checkout is created and the user sees the old one's result.
    - While a session has completed with a **pending delayed payment** (payment status "unpaid"), the account can't open another checkout ("Your payment is processing").
    - An account with **active Pro** can't open a checkout ("You already have Pro").
    - If a second payment still gets through (for example a race between two tabs), it is a **duplicate**: it is **refunded in full automatically** through the payment layer, grants nothing, is not counted as a sale, uses no slot, and sends an alert to MarginOS. The user is emailed that the duplicate was refunded.
  - A sale is **counted only when it is paid**: the checkout completes with payment status "paid", or a delayed payment method later succeeds ("async_payment_succeeded"). **Every paid early-bird purchase that grants Pro is counted**, whether or not its hold is still in place, so the counter never under-counts. When one of the account's sessions is paid, any other open session for that account is expired. A held slot is released if the checkout expires unpaid (checkouts expire after 30 minutes, the shortest time Stripe allows) or if a delayed payment fails ("async_payment_failed").
  - When all 200 slots are sold or held, new checkouts use £59 automatically. The site shows how many early-bird places are left.
- **Refunds (approved; final wording pending legal review):** a simple **14-day money-back guarantee**: a buyer who asks within 14 days of purchase gets a full refund, no questions asked. There is **no exception for PDF downloads** (the earlier "no refund after PDF download" rule is dropped).
  - **Stripe may refund within 60 days anyway.** Under the SMP terms, Stripe may refund a buyer within 60 days of purchase "regardless of any more restrictive refund policy", Link's own refund policy applies where it is more generous, and Stripe may refund if MarginOS doesn't answer an escalation within 48 hours. MarginOS pays for every refund, dispute and reversal, taken from the Stripe balance or the bank account. Link's buyer terms also give UK and EU consumers a 14-day cooling-off right from when they get access. MarginOS's policy must not promise less than these. (Managed Payments terms 3.3-3.4, 3.8, Link terms, Sold through Link refunds)
  - **Proposed wording (pending legal review):** "Not happy? Ask for a refund within 14 days of purchase and you'll get your money back in full. Refunds are handled by our payment partner Link (Stripe), which may also

offer refunds in other cases under its own policy. A full refund ends your Pro access; your account and most recent dataset stay on the Free plan."
    - **Pro after a refund:** a **full refund** (the whole amount paid, in one refund or several) removes Pro, whoever starts it (MarginOS, Stripe or Link). A **partial refund** (for example a goodwill amount) does **not** remove Pro. See 10.3, criterion 12, and 12.10.
    - **Buying again after a refund:** a user whose Pro was removed by a full refund (or a lost dispute) can buy Pro again at the **current price**. The early-bird price applies only if early-bird slots remain (the new purchase takes a new slot, and the refunded one is not reopened).
- **Chargebacks (approved):** Pro **stays** while a chargeback dispute is open and is removed **only if the dispute is lost**. A won dispute, or an inquiry that closes without becoming a chargeback, changes nothing. MarginOS answers dispute requests from Stripe within the deadline Stripe gives.
- **What "lifetime" covers:** lifetime access to Pro and all future Pro updates for as long as MarginOS operates. It does not include MarginOS Live or the agency tier.
- **End of service (approved, pending legal review):** if MarginOS is ever closed, users get at least 90 days' notice by email and can export all their data before it closes. "Lifetime" means the lifetime of the MarginOS service, not of the user.
- **Fair use:** Pro accounts can store up to 500,000 orders in total. Above that, MarginOS keeps working and the user is emailed to agree a fix (archiving or deleting older datasets, or a future agency tier). Nothing is cut off or charged without at least 30 days' email notice. The 50,000-order limit per upload applies to Free only.
- **Legal review before launch (required):** the terms of service, the refund wording above and the "lifetime" and end-of-service wording, **including how they fit the SMP terms and Link's refund policy** and UK/EU consumer law.

12.6 Data and privacy

- Comply with UK GDPR and EU GDPR from launch. MarginOS is the **data processor** for any order data the seller uploads and the **data controller** for account data.
- **Customer personal data is stripped at import** (see section 6), so MarginOS holds as little personal data as possible.
- Publish a **Data Processing Agreement (DPA)** that sellers accept at sign-up, and a public **subprocessor list** (hosting, email, error logging) that is kept up to date. Stripe / Link handles checkout as **merchant of record** and is an independent controller of buyers' payment data; the privacy policy must say so and link to Stripe's and Link's privacy notices. Only the minimum needed (account email, the MarginOS account ID, the provider's customer and payment IDs) is passed between MarginOS and Stripe.
- Store data in the UK or EU, encrypted at rest and in transit.
- Users can export and permanently delete their data at any time (see 10.2, criterion 8). Deleting an account does not delete Stripe's or Link's own transaction records, which they keep under their own legal duties.
- Uploaded data is **never sold; it is shared only with service providers needed to run MarginOS**, and is used only to produce the user's results.
- **Retention:**
    - Free: deleted after 30 days without a sign-in (12.4).
    - Pro: kept until the user deletes it. If a Pro account has no sign-in for **24 months**, the user is emailed 60 and 30 days before uploaded order data is deleted; signing in cancels it. The account and Pro licence are kept.
    - **Upgrade from Free to Pro:** the Free 30-day deletion timer and its reminder are cancelled, and Pro retention applies from the purchase.
    - Refunded or charged-back Pro: the shop's rows in the **most recently opened saved dataset** (or the whole shop if none was saved) and the current cost data stay as the Free dataset (still viewable even if over 50,000 orders or covering several platforms, but replacing it follows Free rules); other data is kept for 30 days for export, then deleted.
- A privacy policy and terms of service must be live before launch (legal review recommended).

12.7 Data model rules

- **Pro shop and saved datasets:** a Pro account has **one shop**. A **saved dataset** is a saved view of that shop: a name, a date range and the platforms included. Opening it recalculates the results from the shop's current data for that view; it never holds a separate copy of the rows.
- **Upgrade from Free:** when a Free user buys Pro, their Free order dataset and template are merged into the shop as its first upload and kept as a saved dataset covering their dates. Results don't change, the daily upload counter disappears, and the Free deletion timer stops (12.6).
- **Template rows in Pro merge too:** product costs match by SKU (or Etsy listing ID), per-order shipping and return costs by order ID, per-SKU averages by SKU, and ad spend by channel and exact date range; a newer row replaces a matching one.
- **Pro uploads append and merge** into the shop. A matching row is replaced by the newer file's row; new rows are added; nothing is counted twice. Each import shows a summary of new, updated and duplicate rows. Matching keys (developer to confirm against the current exports):
    - **Shopify:** order ID + line position within the order + SKU (or variant ID when there is no SKU). Shopify's Orders export has no line item ID, and the same SKU can appear on two lines of one order, so line position is part of the key.
    - **Shopify Payments transactions export:** the full row (as for Amazon): a hash of the whole row plus how many times that identical row has appeared in the same file.
    - **Etsy:** order ID + transaction ID (Order Items CSV); statement rows: the full row (as for Amazon).
    - **Amazon:** the Transaction report has no unique row ID, so each row is matched on a **hash of the whole row** (every column, trimmed) plus how many times that identical row has appeared in the same file. Two identical rows in one file (for example two identical fees) are both kept, while the same rows in an overlapping re-upload are recognised as duplicates.
- **Free uploads replace** the previous dataset (12.4).
- **Product matching:** costs are matched to products by SKU. Where an Etsy product has no SKU, match by listing ID (plus variation), then by exact listing title. Unmatched products are flagged "cost missing" and listed so the user can add costs.
- **Shipping cost per order** takes priority over a per-SKU average where both exist. The same applies to return costs.
- **Validation:** see section 6. A refund larger than the order's total is capped at the order total and flagged "refund exceeds order value".
- **Period:** the period is the date range of the orders in the dataset (or the date range the user selects in Pro). For Amazon, dates are posting dates (section 6). Periods under 14 days show a warning (section 6).
    - **Platforms covering different dates (Pro):** the import summary and the period picker show each platform's date range. If they differ, a warning names them and the default period is the range **every platform covers**; the user can choose another range. If there is no shared range, the default is the full range and the warning says the platforms' figures cover different dates.
- **Out-of-period refunds:** refunds are counted in the period in which the refund happened. A refund for an order placed before the period is included and flagged "refund for an earlier order", and the High returns leak uses only refunds of orders inside the period. If the period ended less than 30 days ago, a note says later refunds may still arrive.

12.8 Tax rules (Pro, launch)

All tax figures are **estimates, not tax advice**, and are labelled so.

- **Tax settings screen:** business country; VAT/GST registration (yes/no, and from which date); EU OSS registration; EU IOSS registration; UK Flat Rate Scheme (yes/no and flat rate %); US states where the seller collects sales tax themselves; whether prices include tax.
- **Rates:** tax amounts in the export are used where present. Otherwise MarginOS uses a built-in rate table (UK, each EU country, Canadian GST/HST/PST by province, Australian GST) that the developer sources from official government sources, with the source and date recorded, rechecked at least every 6 months. US rates are never assumed; US tax is taken only from the export.
- **Marketplace-collected tax:** where the marketplace collects and remits the tax, it is shown as **not the seller's liability** and left out of the seller's tax estimate. At launch this covers:

    - **UK:** Amazon and Etsy collect VAT on sales by overseas sellers and on imported consignments of £135 or less.
    - **EU:** Amazon and Etsy collect VAT as deemed supplier on imported consignments of €150 or less (IOSS), and on sales by non-EU sellers of goods already in the EU.
    - **US:** Amazon and Etsy collect sales tax under marketplace-facilitator laws.
    - **Canada:** Amazon and Etsy collect GST/HST (and PST where required) where Canada's marketplace rules make them responsible, mainly for sellers not registered for GST/HST.
    - **Australia:** Amazon and Etsy collect GST on imported goods of A$1,000 or less.
    - Shopify does not collect tax for the seller.
    - The export's own tax and marketplace-tax columns decide which applies per order where they exist.
- **UK:** VAT on sales and VAT on marketplace fees; Flat Rate Scheme option. The £90k registration-threshold warning applies to **UK-established sellers only**. **Non-UK sellers** selling goods located in the UK have no threshold and must register from their **first UK sale**, so MarginOS shows that note instead (sales where the marketplace collects the VAT are excluded).
- **EU:** VAT per country; OSS for intra-EU distance sales above the EU-wide €10,000 threshold. Sellers shipping into the EU from outside it (including UK sellers) use **IOSS** for consignments of **€150 or less** (unless the marketplace collects it); above €150, import VAT is due at the border and is shown as a note, not calculated.
- **US:** no nexus calculation at launch. Sales tax is split into **marketplace-collected** (shown as not the seller's liability) and **self-collected** (e.g. Shopify), shown as an estimated liability by state, from the tax charged in the export, for the states the seller lists.
- **Canada** GST/HST and **Australia** GST: applied by registration status and rate for the destination (Canada by province).
- The developer must **recheck current HMRC, EU OSS/IOSS, US, Canadian and Australian marketplace-collection guidance at build** and flag any change to Business & Product.

12.9 MarginOS's own VAT position (not VAT registered)

This is about MarginOS as a business, not the tax features for sellers in 12.8. Based on the sources below; ***confirm with an accountant before launch****.*

- **Who sells to the buyer:** Sold through Link, LLC ("SMP", a US company in the Stripe group, South San Francisco, California) is the merchant of record. Under the SMP terms, MarginOS appoints SMP to sell on its behalf. SMP is not the seller of record for all purposes and does not book the revenue (MarginOS does), but **for indirect tax** SMP "is treated as making, or being deemed to make," the supply (as an electronic interface operator, marketplace operator, commissionaire, agent or deemed supplier). SMP calculates, collects and remits the buyer's VAT / sales tax / GST and withholds it before paying out. (Managed Payments terms 2 and 4.1, Tax compliance)
- **This fits UK VAT law for digital services.** Where software is sold through an interface or platform, the platform is presumed to act in its own name, so for VAT there are two supplies: MarginOS → SMP, then SMP → buyer. (Implementing Regulation 282/2011, Article 9a, HMRC: digital services to consumers)
- **Coverage:** SMP covers UK, EU, US, Canadian and Australian sales, including UK sales to UK buyers, and issues the invoices in its own name. In any country SMP doesn't cover, the seller is responsible for the tax and invoices are issued in the seller's name; **MarginOS blocks sales to those countries** (allowed buyer countries, 12.5) until an accountant confirms how to handle them. (Tax compliance)
- **MarginOS's VAT registration doesn't change buyer tax or net per sale.** Buyers are charged the same price and the same tax either way, and MarginOS does not charge VAT to buyers or file returns for SMP sales.
- **MarginOS's supply is to SMP, a US business.** Under HMRC's general rule for business-to-business services, the supply takes place where the customer belongs. So MarginOS's supply to SMP is **outside the scope of UK VAT**. MarginOS should keep evidence that its customer is a business outside the UK: the SMP terms, Stripe payout statements and SMP tax reports. (VAT Notice 741A, 2.1 and 6.3, HMRC VATPOSS06300)
    - **Accountant check (required before launch):** this reasoning rests on SMP's "deemed supplier" wording, not on SMP being a reseller (Lemon Squeezy's v12 wording). It must be confirmed, along with SMP's US legal details (only its California address was found, from SMP invoices quoted in other sellers' terms).
- **SMP sales don't count towards the £90,000 threshold.** Out-of-scope supplies are not "taxable turnover". (Register for VAT, HMRC VATREG02300)

- **When UK registration would be needed:**
  - If MarginOS's **taxable** turnover goes over £90,000 in any rolling 12 months, or MarginOS expects it to go over £90,000 **in the next 30 days alone**. This includes sales made directly rather than through SMP (for example a future agency tier, consulting or sponsorship invoiced to UK customers), and any sales to countries SMP doesn't cover.
  - Taxable turnover also includes services bought from overseas businesses that would be reverse-charged, such as foreign hosting or software subscriptions. At MarginOS's expected scale these are far below £90,000, but they should be tracked.
  - The £90,000 test is checked monthly on a rolling 12-month basis.
- **Voluntary registration is possible.** Because the supplies abroad would be taxable if made in the UK, MarginOS could choose to register in order to reclaim VAT on UK business costs (including VAT on Stripe fees, if charged). This brings quarterly returns and is an accountant decision, not a launch requirement. (VAT Notice 700/1, 2.9)
- **Tax refunded to buyers:** in some countries tax on a refunded sale can't be recovered, and MarginOS then bears it (SMP terms 4.1(c)); this is small but should be tracked.
- **Income from payouts** is still subject to UK income tax or corporation tax.

12.10 Payment provider layer (launch)

- **All payment code sits behind MarginOS's own payment layer.** The rest of the app only uses MarginOS's own terms (start checkout, purchase confirmed, refunded, dispute opened, dispute won or lost, licence granted or removed). Stripe-specific code (Checkout Sessions with Managed Payments switched on, price and currency-option IDs, webhook handling) lives in one adapter. Changing provider should need a new adapter, not changes across the app.
- **Licence records** store the MarginOS account ID, the provider name, the provider's customer, checkout and payment IDs, the price paid, currency, buyer tax country, early-bird yes/no, amount refunded, dispute state and the licence state (active, removed after full refund, removed after lost dispute, refunded as duplicate), so licences survive a change of provider.
  - **One licence record per purchase.** The account has Pro while **at least one** of its purchases is active. Each event changes only the purchase it belongs to (matched by the provider's checkout and payment IDs), so a late or replayed event for an old, refunded purchase never removes Pro granted by a newer one.
- **Account linking:** every checkout is created from a signed-in, verified MarginOS account and carries that account ID as "client_reference_id" (and in metadata). The adapter links a payment to the account by that ID only, never by matching the buyer's email. A paid session without a valid account ID is flagged for review and Pro is not granted until it is resolved.
- **Events used (Stripe, at launch):**
  - **Purchase:** "checkout.session.completed" with payment status **"paid"** → grant Pro, count the sale and expire the account's other open sessions (if the account already has an active purchase, it is a duplicate: refund it in full automatically, 12.5). "checkout.session.completed" with payment status "unpaid" (a delayed payment method, such as some bank debits, buy-now-pay-later or local methods) → keep the early-bird slot held, no Pro yet. "checkout.session.async_payment_succeeded" → grant Pro and count the sale (or, for an account that already has an active purchase, refund it as a duplicate). "checkout.session.async_payment_failed" → no Pro, and release the held slot (12.5). "checkout.session.expired" → release the held slot.
  - **Refund:** "charge.refunded" (sent for every full or partial refund). The adapter decides **full vs partial** from the Charge in the event: it is a **full refund** when the Charge's "refunded" field is true (equivalently, "amount_refunded" equals "amount", in the charge currency's smallest unit). Full refund → remove Pro. Partial refund → keep Pro and record the amount refunded on the licence. Several partial refunds that add up to the full amount count as a full refund when the last one arrives (the Charge's "refunded" becomes true).
  - **Refund failure:** "refund.failed" or a "charge.refund.updated" event showing the refund's status as "failed" or "canceled" → the refund didn't happen, so the amount refunded is recalculated from the Charge. If that takes it below the full amount, Pro is **restored** (a refund failure never removes Pro). The early-bird count is unchanged, because the sale was never uncounted.
  - **Chargeback:** "charge.dispute.created" → record "dispute open" on the licence; **Pro stays**. "charge.dispute.closed" → read the dispute's "status": "lost" → remove Pro; "won" → clear the flag, no

change; "warning_closed" (an inquiry that never became a chargeback) → clear the flag, no change; "prevented" (the dispute was stopped before it became a chargeback) → clear the flag, no change. "charge.dispute.updated" only updates the record.
    - **Unknown status:** any dispute status, event type or payment status the adapter doesn't recognise → **no change to the licence**, and an alert is sent to MarginOS for review.
    - **Order of events:** decisions use the latest state of the Charge or dispute (fetched from Stripe when an event is handled), not the order events arrive in, so a late or replayed event can't remove or restore Pro wrongly. A partial refund followed by a lost dispute removes Pro (because the dispute is lost).
    - **Redacted Stripe records:** SMP lets buyers ask for their data to be deleted, after which Stripe may delete or redact the Charge or Customer. If Stripe's records are missing or redacted when an event is handled or during the daily check, MarginOS **keeps the last known licence state** stored on the licence and never removes or grants Pro because data is missing.
    - **Buyer country:** on purchase, the tax country Stripe used is stored on the licence; a country outside the allowed list (12.5) is flagged for review.
    - Stripe API version 2025-03-31.basil or later, as SMP requires. (Set up, Update Checkout)
- **Reliability:** every webhook's signature is verified; each event ID is processed **once only**; events arriving out of order or replayed never grant or remove Pro twice. A daily check against the provider's records catches missed events (keeping the last known state where records are redacted, see above).
- **Accounting note:** in SMP reports, the "fee" column includes tax Stripe withheld. For Stripe's own fees, reconcile with "fee_net_of_withheld_tax" (and "withheld_tax" for the tax), not "fee".
- **Early-bird counter** (12.5) is kept by MarginOS, not by the provider, so it survives a change of provider.
- **Test mode:** the full flow (purchase in each fixed currency and one Adaptive Pricing currency, tax-inclusive amounts, a blocked country, a full refund, a partial refund, two partial refunds adding up to the full amount, a won dispute, a lost dispute, a "prevented" dispute, an unknown dispute status, a failed refund, a redacted Charge, a delayed payment that succeeds and one that fails, a checkout without a signed-in account, a second checkout from the same account that expires the first session, a checkout attempt while a delayed payment is pending, a checkout attempt with Pro already active, a duplicate payment refunded automatically, a re-purchase after a full refund followed by a late event on the old purchase, Adaptive Pricing switched on in the Dashboard and shown for a currency without a fixed price, a replayed event, early-bird cap at 200) must pass in Stripe test mode before launch.

13. Known risks

- Platform CSV formats and fee rates change; lifetime pricing brings no recurring revenue to fund fixes.
- Shopify, Etsy and Amazon exports change without notice; the optional fee and statement files may differ by region.
- Tax rules differ by country and change often; all tax figures must be labelled as estimates.
- **Net per sale varies by buyer country and currency** because prices include tax: a £39 sale nets about £30.35 from a UK card buyer but about £35.55 from a US buyer paying $52 with no sales tax (best case), and fixed local prices pay a 2% conversion fee, which is accepted (12.5). Exchange-rate moves change what fixed local prices are worth in GBP.
- **Refund abuse:** with a simple 14-day refund (and Stripe able to refund within 60 days, under Link's refund policy, or after 48 hours without a reply), some buyers may buy, download the PDF report and ask for a refund. Accepted as a cost of a simple, trustworthy policy; track the refund rate after launch.
- **Disputes cost £20 each** and a high dispute rate can make MarginOS ineligible for SMP. Stripe may also switch on paid dispute-prevention tools.
- **Dependence on SMP:** Stripe must approve MarginOS as eligible, can change the SMP terms and fees, and can change the account's settings (payment methods, fraud rules). The payment provider layer (12.10) keeps a move to another provider possible.
- **Blocking uncovered countries** turns away some buyers (outside the 81 covered countries) until an accountant confirms the position.
- **SMP is a new service** (generally available since April 2026); its coverage, fees and terms may still change.
- **MarginOS's VAT position** relies on SMP staying merchant of record and sales being limited to countries SMP covers for tax (12.5). Any direct (non-SMP) sales, or sales that slip through to countries SMP doesn't cover, count towards the £90,000 UK threshold (12.9); confirm with an accountant.

- **Fair use has no acceptance criterion at launch** (known gap): the 500,000-order limit (12.5) is a soft limit with an email, so it is checked by hand after launch rather than tested before it.
- **Specs grow with each fix:** every new rule brings new edge cases. From v16, questions found during the build go into the Open questions log (section 14) instead of another full audit.
- Any change to pricing, positioning or features requires Akthar's approval.

14. Open questions log

The developer records any question raised during the build here, rather than guessing. Akthar or the Business & Product Agent answers it, and every answer that changes or clarifies a rule is recorded as a **spec amendment** (numbered v16.1, v16.2 and so on) with the section it changes. An answer that changes pricing, positioning or features needs Akthar's approval. Build work that depends on an open question waits for the answer or uses the stated default.

ID	Date raised	Section	Question	Raised by	Answer	Answered by	Amendment
Q1			*(first question goes here)*	Developer			